LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Commodity Funding?

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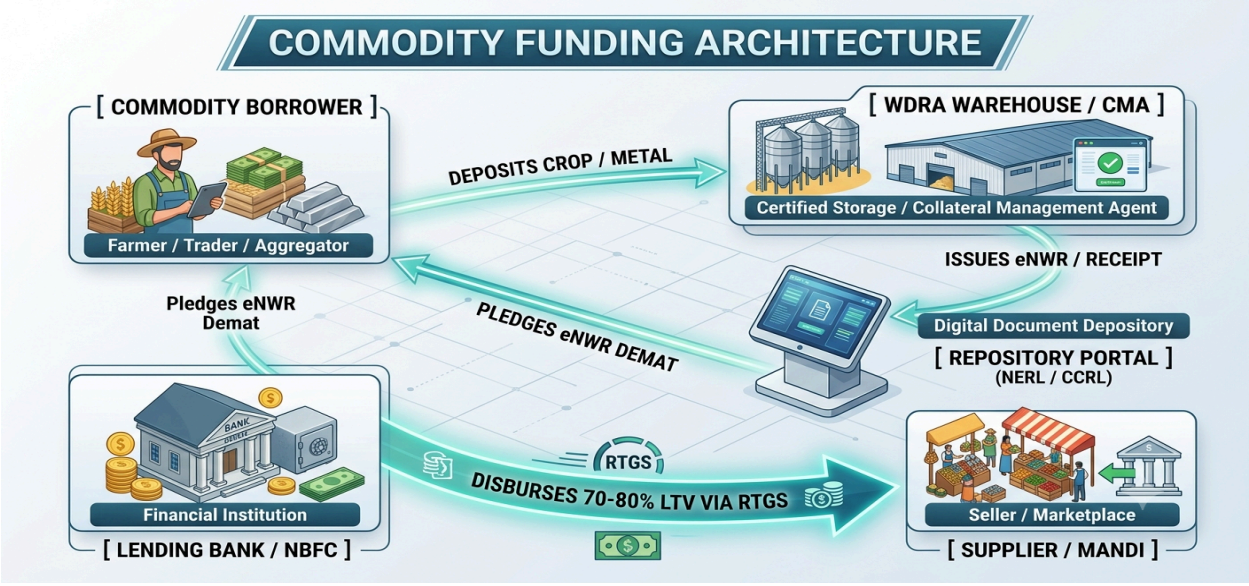
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Module 1: Theoretical Foundations, Statutory Definitions & Product Philosophy of Commodity Funding

Commodity Funding—predominantly structured as Warehouse Receipt Financing (WRF), Agri-Commodity Pledge Overdrafts, or Electronic Negotiable Warehouse Receipt (eNWR) Credit—is a specialized asset-backed trade credit mechanism designed to bridge the severe seasonal liquidity gap experienced by agricultural processors, commodity traders, millers, and industrial merchants in India. In the physical trade cycle of agricultural produce and industrial commodities, harvest seasons create an immediate, massive demand for liquidity. Agricultural commodities such as paddy, wheat, spices, cotton, oilseeds, and pulses, as well as industrial commodities like non-ferrous metals and steel, are harvested or produced during condensed seasonal windows. During these peak arrival periods, Mandi prices are historically lowest, offering processors and trading houses extraordinary price discounts. However, procuring large physical volumes requires immediate, upfront cash settlement.

Without structured commodity credit, processing entities face a destructive commercial trade-off: either distress-sell processed inventory prematurely to maintain liquidity or forgo seasonal purchasing, leaving plant capacity underutilized and incurring higher raw material costs during off-season price surges. Commodity Funding resolves this structural friction by converting static, stored physical inventory into an immediate, liquid credit facility. By pledging stored commodities housed in approved, third-party accredited warehouses, businesses unlock 60% to 80% of the collateral's fair market value as revolving credit, retaining full beneficial ownership and capturing seasonal price appreciation while maintaining unhindered operational liquidity.



The Legal Philosophy of Bailment and Pledge

At its statutory core, Commodity Funding is governed by the law of bailment and pledge under the **Indian Contract Act, 1872**. Under **Section 172 of the Indian Contract Act,**

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1872, a pledge is defined as the bailment of goods as security for the payment of a debt or performance of a promise. The borrower (pawnor) delivers physical or constructive possession of the commodity to the lender or its accredited custodian (pawnee). Crucially, while constructive possession transfers to the lender to secure repayment, legal title and beneficial ownership remain strictly with the borrower.

This constructive possession is legally established through one of three custodial arrangements: 1. **WDRA Registered Public Warehouses:** Warehouses registered with the Warehousing Development and Regulatory Authority (WDRA) under the **Warehousing (Development and Regulation) Act, 2007**. These facilities issue electronic Negotiable Warehouse Receipts (eNWRs) that carry statutory negotiability and legal enforceability. 2. **Collateral Management Agreements (CMA) / Field Warehousing:** Tripartite arrangements where an independent, professional Collateral Management Company (CMC)—such as National Collateral Management Services Ltd (NCML), Star Agri, or SLCM—takes physical control of the borrower's private godown or leasehold warehouse, locking the facility, issuing pledge receipts, and maintaining round-the-clock security and stock monitoring. 3. **Exchange-Approved Delivery Warehouses:** Warehouses accredited by commodity derivative exchanges such as the Multi Commodity Exchange of India (MCX) or the National Commodity & Derivatives Exchange (NCDEX), where stored goods are continuously benchmarked, assayed, and mark-to-market.

Statutory Architecture: WDRA Act, 2007 and eNWR Mechanics

The enactment of the **Warehousing (Development and Regulation) Act, 2007** revolutionized commodity finance in India by creating a centralized, electronic, and legally robust framework for warehouse receipts. Under Section 11 of the WDRA Act, a Negotiable Warehouse Receipt (NWR) or its digital equivalent, the **eNWR**, issued by a WDRA-registered warehouse, serves as a prime document of title to goods.

eNWRs are held in dematerialized form across two licensed repositories in India: **National E-Repository Limited (NERL) - ComRepository Limited (CCRL)**

When a depositor stores commodities in a WDRA-accredited warehouse, the repository system generates an immutable electronic receipt capturing granular details: commodity specification, NABL assaying report parameters, moisture content, stack location, bag counts, gross/net weight, depositor PAN/Aadhaar, and expiry date of storage. When applying for Commodity Funding, the pledge is created digitally on the repository portal. The lending institution marks an online lien against the eNWR, preventing any unauthorized transfer, withdrawal, or re-pledge of the underlying commodity without explicit electronic authorization from the bank.

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Module 2: Structural Taxonomy and Comparative Analysis (The Commodity Credit Matrix)

To enable financial analysts and credit underwriters to accurately position Commodity Funding within corporate debt structures, the comparative matrix below details its operational, legal, and risk parameters against standard commercial lending products available in the Indian banking sector.

Comparative Credit Matrix

Feature / Dimension	Commodity Funding (eNWR / Pledge)	Standard Cash Credit (CC) Facility	Unsecured Short-Term Loan	Loan Against Property (LAP)
Primary Underwriting Basis	Market Value & Liquidity of Stored Commodity	Overall Net Working Capital & Current Assets	Cash Flow & Historical EBITDA	Fair Market Value of Immovable Property
Possession & Custody	Constructive / Physical Custody with Bank / CMA	Possession stays with Borrower (Hypothecation)	Unsecured (No Possession)	Borrower Retains Possession (Equitable Mortgage)
Governing Legal Framework	Indian Contract Act Sec 172 / WDRA Act 2007	SARFAESI Act 2002 / Contract Act	Indian Contract Act 1872	Transfer of Property Act Sec 58(f) / SARFAESI
LTV Ceilings	60% – 80% of Market Value / MSP	60% – 75% of Drawing Power	N/A (Based on Turnover Multiples)	50% – 65% of Property FMV
Turnaround Time (SLA)	24 to 48 Hours (Digital eNWR)	3 to 6 Weeks	48 to 72 Hours	3 to 5 Weeks
Indicative Interest Rates	8.50% – 11.50% p.a. (EBLR-linked)	9.50% – 13.50% p.a.	15.00% – 22.00% p.a.	9.25% – 12.50% p.a.
CERSAI & ROC Filings	Mandatory CERSAI & ROC CHG-1	Mandatory CERSAI & ROC CHG-1	Unsecured (No Filing)	Mandatory CERSAI & ROC CHG-1
Stock Substitution / Sweeps	Permitted via Pro-Rata Loan Paydown	Continuous Revolving Stock	N/A	Fixed Amortization / Overdraft

Key Product Variants in Commodity Funding

1. **Exchange-Traded Commodity Pledge:** Financing extended against warehouse receipts issued by MCX/NCDEX approved delivery centers. Offers 80% LTV due to real-time mark-to-market pricing and transparent derivative hedging mechanisms.
2. **Off-Exchange WDRA eNWR Pledge:** Financing against electronic receipts issued by WDRA-registered public warehouses for agricultural commodities (paddy, wheat, pulses, maize, cotton). Sized at 70% to 75% LTV based on Minimum Support Price (MSP) or prevailing Mandi rates.

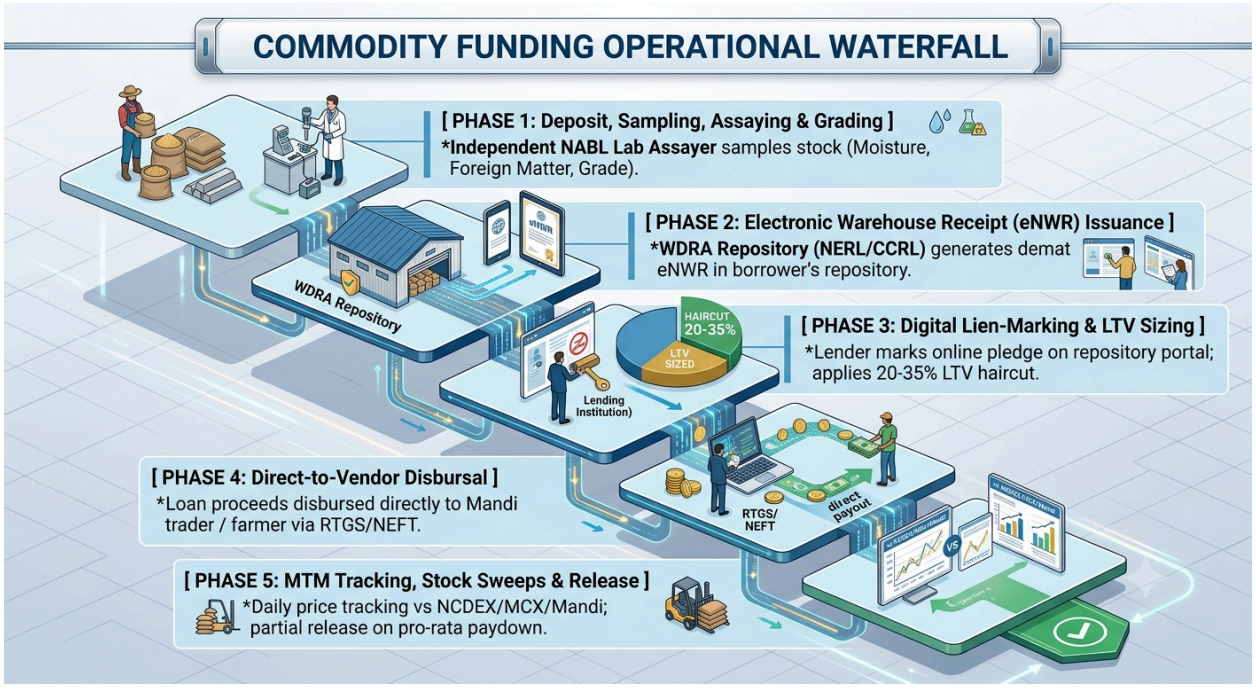
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3. **Collateral Management Agreement (CMA) / Field Warehousing:** Sized for large industrial processors or processors with captive private godowns. A professional Collateral Manager locks, monitors, and assays stock on-site under a tripartite agreement between Borrower, Bank, and CMA.
4. **Agri-Processing Seasonal Overdraft:** Revolving overdraft lines structured for seasonal processors (sugar mills, rice millers, spice exporters) where Drawing Power is re-calculated weekly based on physical stock audits and certified lab assay reports.

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Module 3: The End-to-End Operational Lifecycle of Commodity Funding

The operational lifecycle of a Commodity Funding facility follows a highly structured, 5-phase risk-mitigated waterfall designed to prevent collateral leakage, ensure quality verification, and maintain absolute legal control over pledged stocks.



Phase 1: Deposit, Sampling, Assaying & Quality Grading

Before any credit is disbursed, physical commodity batches brought to a WDRA-registered warehouse or CMA-controlled godown undergo rigorous independent quality testing. An NABL-accredited assayer collects composite core samples across stacks using standardized sampling probes (samplers).

Testing parameters vary by commodity category: - **Food Grains & Pulses (Paddy, Wheat, Chana, Tur):** Tested for moisture percentage (must be within prescribed limits, typically $< 12\%$ to prevent fungal spoilage), foreign matter, damaged/discolored grains, admixture, and insect infestation. - **Oilseeds & Spices (Mustard, Soyabean, Red Chilli, Turmeric):** Tested for oil content percentage, volatile oil, moisture, aflatoxin levels, and color value (ASTA units). - **Industrial Metals (Steel Coils, Copper Cathodes, Aluminium Ingot):** Assayed for chemical purity, grade certification, mill test certificates, and physical surface corrosion.

If moisture or contamination exceeds WDRA rejection limits, the lot is rejected. Batches meeting specifications are graded, weighed on certified electronic weighbridges, stacked, and assigned unique stack numbers.

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Phase 2: Electronic Warehouse Receipt (eNWR) Generation

Once weighbridge tickets and assay certificates are uploaded into the WDRA repository system (NERL or CCRL) by the warehouse manager, an immutable **eNWR** is generated in the depositor's repository account. The eNWR records exact details: depositor name, warehouse registration number, stack location, bag count, net weight, assay grade, storage charges schedule, and valid storage tenure.

Phase 3: Digital Lien-Marking & LTV Haircut Sizing

The borrower initiates an online pledge request on the repository portal targeting the specific eNWR batch and nominating the lending institution. The lender's credit operations team verifies the pledge details against the sanctioned limit and executes an electronic pledge acceptance. This instantly locks the eNWR in favor of the lender; the repository portal prohibits any transfer or withdrawal of the underlying commodity without an electronic lien-release instruction from the bank.

Loan Sizing Formula:

$$extSanctionedLoanAmount = extCertifiedWeightimesextBenchmarkPriceimes(1 - extHaircut)$$

Where: - **Benchmark Price:** Lower of current Mandi/MCX market price or Minimum Support Price (MSP). - **Haircut:** Typically 20% to 35% depending on price volatility (e.g., 20% for wheat/paddy; 30% for spices/cotton).

Phase 4: Direct-to-Vendor Disbursal

To eliminate capital diversion, loan proceeds are credited directly into the verified bank account of the Mandi commission agent (Arhtia), farmer, or commodity supplier via RTGS/NEFT. Funds are never routed into the borrower's general operating account without documentary proof of raw material purchase.

Phase 5: Mark-to-Market (MTM) Tracking, Margin Calls & Stock Release

Lenders maintain real-time automated price feeds tracking spot rates on NCDEX, MCX, Agmarknet, and regional Mandi indices. - **MTM Margin Call Trigger:** If spot prices decline by more than 10% from the initial valuation, an automated MTM margin call is issued. The borrower must deposit additional cash margin or pledge additional eNWRs within 48 hours to restore the LTV ratio. - **Stock Release Protocol:** When the processor or trader requires stock for processing or sale, they deposit the pro-rata loan amount (plus accrued interest) into the bank's Escrow / Loan account. Upon receipt, the bank executes an electronic lien release on NERL/CCRL, authorizing the warehouseman to release the specified number of metric tonnes.

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Module 4: Underwriting Framework, Working Capital Sizing & Risk Scorecards

Credit appraisal for Commodity Funding requires a dual evaluation: assessing the borrower's operational capacity and balance sheet health alongside the intrinsic liquidity and quality of the pledged commodity. Lenders employ three standard working capital sizing frameworks recognized by the Reserve Bank of India (RBI).

Working Capital Assessment Frameworks

1. Tandon Committee's Second Method of Lending

Applied to corporate processors and trading houses seeking aggregate working capital facilities exceeding ₹5 Crores. The Tandon Committee framework mandates that the borrower contribute at least 25% of Total Current Assets from long-term funds (Net Working Capital), ensuring a minimum Current Ratio of 1. 33: 1.

$$extMaxPermissibleBankFinance(MPBF) = 0.75imes(extTotalCurrentAssets) - extCurrentLiabilitie$$

Under Commodity Funding, pledged inventory is treated as a prime current asset, allowing higher advance values while maintaining a strictly compliant 1. 33: 1 Current Ratio.

2. Projected Turnover Method (Nayak Committee)

Utilized for MSME processors and Mandi traders requesting credit limits up to ₹5 Crores. The bank estimates the borrower's projected annual turnover based on historical GST returns (GSTR-1/GSTR-3B) and bank statement throughput. - Total Working Capital Requirement: Estimated at 25% of projected annual turnover. - Promoter Margin Contribution: Mandatory minimum of 5% of projected turnover. - Bank Working Capital Sanction: Sized at 20% of projected annual turnover.

3. Cash Budget Method

Mandatory for highly seasonal businesses (e.g., Sugar Mills, Cotton Ginners, Paddy Rice Processors) where cash inflows and outflows fluctuate dramatically across quarters. The borrower submits a 12-month monthly cash flow forecast detailing raw material procurement spikes, storage holding costs, processing expenses, and seasonal sales realizations. Peak Deficit Sizing determines the maximum credit limit.

Credit Scorecards and Eligibility Thresholds

In addition to collateral evaluation, borrowers must satisfy institutional credit scorecards: - **Promoter Bureau Score:** CIBIL score $>$ 700 for key promoters/partners; clean CIBIL Commercial Report with no active SMA-2 or NPA status across group entities. - **CIBIL MSME Rank (CMR):** CMR 1 to CMR 4 rating for commercial entities. - **Debt Service Coverage Ratio (DSCR):** $ ext{DSCR} 1.25x$, ensuring operating cash flows comfortably cover interest obligations. - **Interest Coverage Ratio (ICR):** $ ext{ICR} = rac{

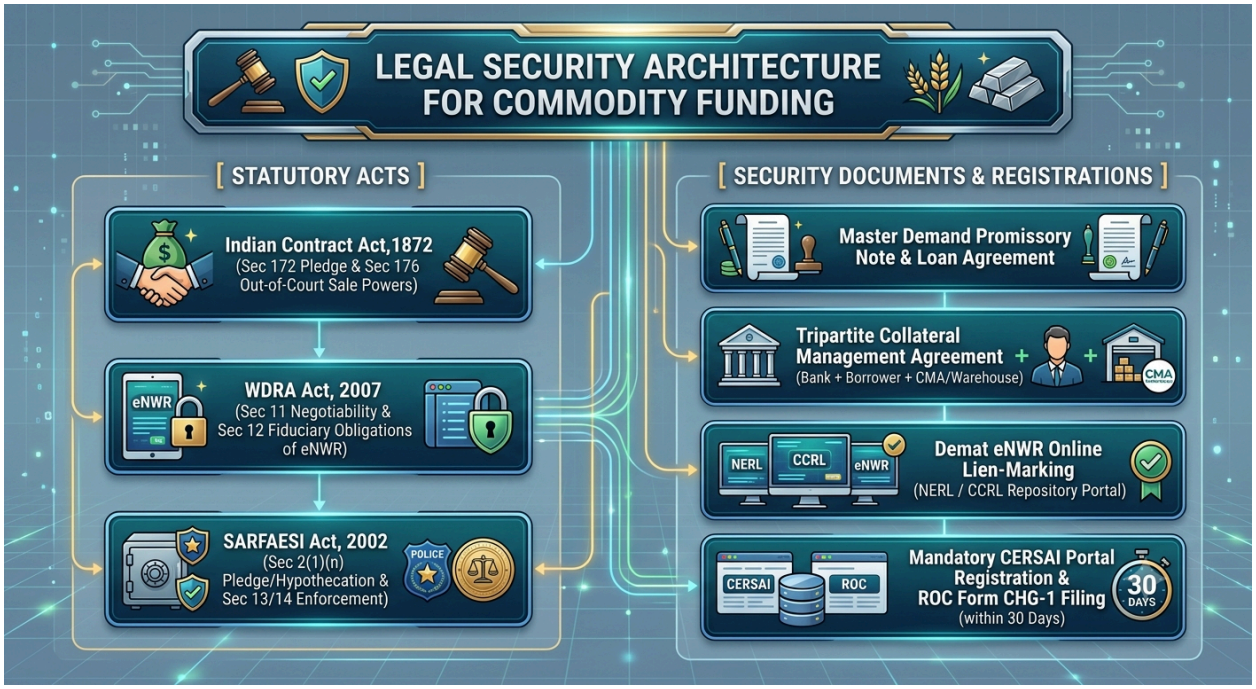
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ext{EBITDA}}{ ext{Gross Interest Expense}} 1.50x$. - **GST Reconciliation:** 100% automated API cross-verification matching GSTR-1 sales invoices with GSTR-3B tax paid returns and Account Aggregator bank statement velocity.

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Module 5: Legal Security Architecture, Statutory Covenants & Foreclosure Rights

The legal enforceability of Commodity Funding relies on a robust matrix of Indian commercial statutes, warehouse regulations, and debt recovery laws. Understanding this security architecture is critical for finance professionals to navigate risk mitigation and default enforcement.



Statutory Framework and Legal Enforcement

1. Indian Contract Act, 1872 (Sections 172 & 176)

- **Section 172 (Pledge Definition):** Establishes the Pawnee's (lender's) legal right of constructive possession over the pledged commodity.
- **Section 173 (Pawnee's Right of Retainer):** Entitles the lender to retain possession of the commodity not only for payment of the loan principal and interest but also for all necessary expenses incurred in respect of the possession or preservation of the pledged goods (e.g., storage fees, insurance premiums, fumigation costs).
- **Section 176 (Pawnee's Out-of-Court Power of Sale):** A pivotal legal right in commodity pledge financing. If the borrower defaults in payment or fails to satisfy an MTM margin call, Section 176 empowers the lender to sell the pledged commodity in the open market or via auction without requiring a court order, provided the lender gives the borrower **reasonable notice of the intended sale**. The proceeds are applied to satisfy the debt, interest, and enforcement expenses, with any surplus refunded to the borrower.

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2. Warehousing (Development and Regulation) Act, 2007 (WDRA)

- **Section 11:** Establishes that an eNWR is a negotiable document of title. The holder in whose favor a lien is marked holds a paramount statutory claim over the physical stock held in the warehouse.
- **Section 12:** Imposes strict fiduciary liabilities on registered warehousemen. If a warehouseman releases, tampers with, or allows deterioration of pledged stock without the lender's written/electronic consent, the warehouseman faces severe criminal penalties, license revocation, and personal civil liability.

3. SARFAESI Act, 2002

- **Section 2(1)(n):** Explicitly includes pledge and hypothecation of movable property within the security interest framework.
- **Section 13(2) & 13(4):** Enables secured lenders to issue 60-day demand notices upon NPA classification and take physical possession/control of pledged stores under Section 13(4) with District Magistrate (DM) assistance under Section 14.

4. Mandatory Statutory Registrations

- **CERSAI Registration:** All security interests created over pledged or hypothecated commodities must be registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) portal within 30 days of creation.
- **ROC Form CHG-1 Filing:** Corporate borrowers (Pvt Ltd / Ltd companies) must file Form CHG-1 with the Registrar of Companies (ROC) within 30 days under Section 77 of the Companies Act, 2013 to register the charge.

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Module 6: Suitable Industries, Business Profiles & Market Alignment

Commodity Funding is uniquely suited for businesses operating within agricultural supply chains, food processing, metal distribution, and commodity trading where working capital is heavily tied up in physical inventory holdings.

High-Impact Industry Segments

1. **Agri-Processing Mills:**
   - **Rice Millers:** Procuring paddy during harvest (October–December) to process and sell non-basmati/basmati rice throughout the year.
   - **Flour Millers & Solvent Extraction Units:** Purchasing wheat, mustard, soybean, and sunflower seeds during peak arrivals.
   - **Spice Exporters & Processors:** Sourcing red chilli (Guntur), turmeric (Nizamabad/Erode), cardamom, and cumin (Unjha) during harvest peaks to lock in quality and pricing.
   - **Cotton Ginning & Spinning Mills:** Funding raw cotton bales stored in WDRA/CMA warehouses.
2. **Metals & Minerals Merchants:**
   - Wholesale distributors storing steel coils, billets, aluminum ingots, and copper cathodes requiring inventory liquidity.
3. **Commodity Import-Export Houses:**
   - Importers storing imported bulk commodities (edible oils, pulses, coal) at port-adjacent warehouses before domestic distribution.

Macroeconomic Alignment and Commercial Market Footprint

Data from commercial lending reports highlights the central role of trade and working capital financing in India's commercial credit ecosystem.

According to credit bureau statistics: - **Retail and Wholesale Traders represent the largest segment of commercial working capital borrowers, making up 44% of total active commercial borrowers** in the MSME credit bracket (exposure segment of ₹10 Lakhs to ₹2 Crores). - Large public sector institutions have scaled digital trade and supply chain platforms aggressively to serve this segment—as evidenced by State Bank of India's (SBI) flagship digital supply chain platforms, which processed **₹49,261 Crores under the Electronic Dealer Financing Scheme (e-DFS)** and **₹28,092 Crores under the Electronic Vendor Financing Scheme (e-VFS)** in recent fiscal cycles. Commodity Funding seamlessly complements these supply chain platforms by providing dedicated inventory liquidity at the origin of the trade cycle.

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Module 7: Commercial Pricing Mechanics, Cost-Benefit Analysis & Interest Tax Shields

Understanding the true commercial cost of Commodity Funding requires evaluating interest pricing benchmarks, collateral management operating costs, tax shield mechanics, and Input Tax Credit (ITC) recovery under the Indian Goods and Services Tax (GST) framework.

Pricing Structure and Fee Components

1. **Interest Rate Benchmarks:**
   - **MSME Borrowers:** Pricing is benchmarked to the bank's External Benchmark Lending Rate (EBLR), typically linked directly to the RBI Repo Rate (e.g., Repo Rate 6.50% + Spread 2.00% to 3.50% = Effective Rate **8.50% to 10.00% p.a.**).
   - **Corporate Borrowers:** Priced against Marginal Cost of Funds-based Lending Rate (MCLR) with tenure spreads.
2. **Upfront Processing & Sanction Fees:**
   - Sized at 0.50% to 1.25% of the sanctioned credit line limit.
3. **Collateral Management & Storage Charges:**
   - CMA / Warehouse Management Fee: 0.15% to 0.30% per month on the stored value, covering physical security, insurance, and periodic assaying.

GST Rules and Input Tax Credit (ITC)

Under the Indian GST framework: - **Interest Charges:** Interest levied on loan facilities is **100% EXEMPT from GST** (under Notification No. 12/2017-Central Tax (Rate)). - **Processing & Collateral Management Fees:** Service fees, processing charges, and CMA storage fees attract **18% GST**. However, for commercial enterprises and registered processing businesses, this 18% GST is **100% recoverable as Input Tax Credit (ITC)** against output GST liabilities incurred on finished goods sales.

Income Tax Shield Mechanics: Section 36(1)(iii)

Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for business or profession is fully deductible as a revenue expense in computing corporate taxable income.

$$extNetPost - TaxInterestCost = extGrossInterestExpenseimes(1 - extCorporateTaxRate)$$

For an Indian corporate entity taxed at the standard corporate tax rate of **25.17%** (inclusive of applicable surcharge and cess under Section 115BAA), every ₹1,00,000 of interest paid on a Commodity Funding facility generates an immediate **₹25,170 tax shield, significantly reducing the effective post-tax cost of borrowing**.

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Module 8: Regulatory Compliance, RBI Directions, Priority Sector Lending & Asset Classification

Commodity Funding operates under strict regulatory guidelines issued by the Reserve Bank of India (RBI) governing Priority Sector Lending (PSL), loan delivery mechanisms, and asset classification.

Priority Sector Lending (PSL) Agri-Credit Norms

To encourage institutional credit flow into agriculture, the RBI's Master Directions on Priority Sector Lending provide specific incentives for bank lending against warehouse receipts: - **Lending against eNWRs / NWRs:** Loans to individual farmers and agri-entities against pledge/hypothecation of agricultural produce stored in WDRA-registered warehouses (evidenced by eNWRs/NWRs) for a period not exceeding 12 months are eligible for classification under **Agri-Priority Sector Lending up to a cap of ₹75 Lakhs per borrower**. - **Non-eNWR Warehouse Receipts:** Capped at **₹50 Lakhs per borrower** for PSL classification. - **Risk-Weight Incentives:** PSL classification reduces capital allocation requirements for commercial banks, allowing banks to pass on interest rate discounts of 50 to 150 basis points to agri-commodity borrowers.

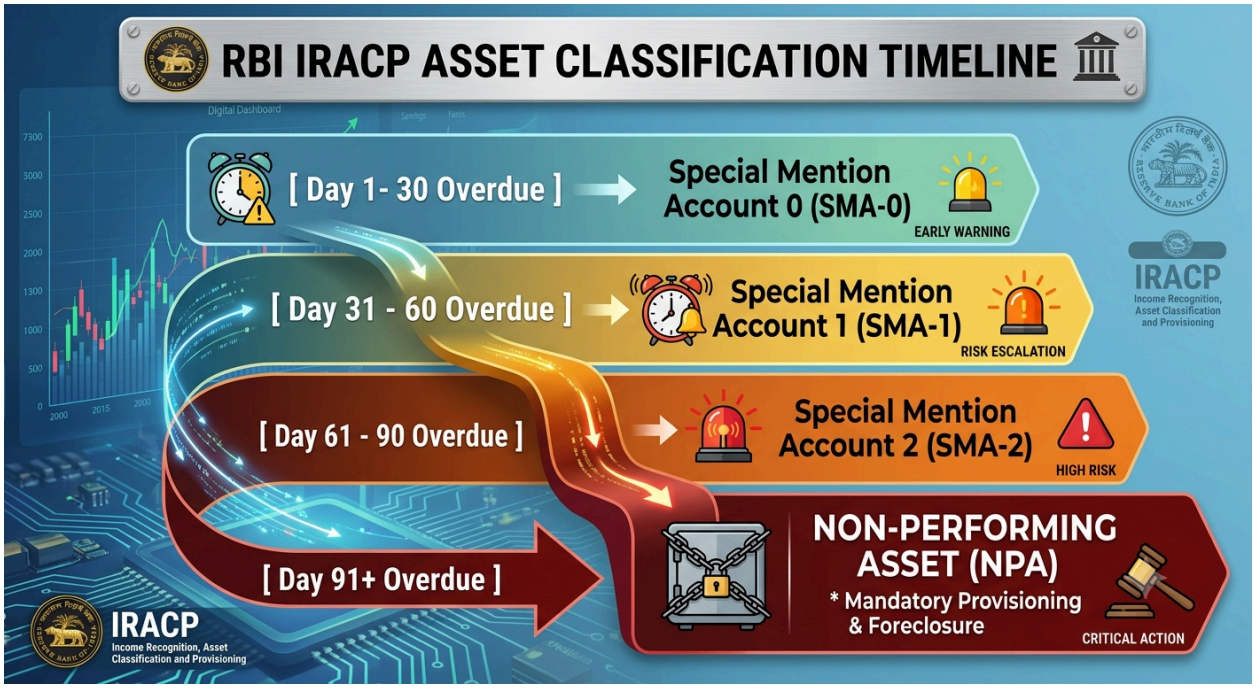
RBI Guidelines on Loan System for Delivery of Bank Credit

For large commercial borrowers with aggregate working capital credit facilities of **₹150 Crores and above** from the banking system: - RBI Master Directions mandate that the working capital facility must be split into a minimum **60% Loan Component (Working Capital Demand Loan - WCDL)** and a maximum **40% Cash Credit Component**. - Commodity Funding structured as bullet-repayment WCDLs against specific eNWR batches aligns perfectly with these mandatory loan delivery guidelines.

Asset Classification, SMA Triggers & NPA Delinquency Clocks

Lenders must continuously monitor account health under the RBI's Income Recognition, Asset Classification and Provisioning (IRACP) norms:

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1. **Overdue Classification:**
   - **SMA-0:** Principal or interest payment overdue for 1 to 30 days.
   - **SMA-1:** Payment overdue for 31 to 60 days.
   - **SMA-2:** Payment overdue for 61 to 90 days.
   - **NPA Classification:** If interest or principal installment remains unpaid for **more than 90 days**, the account is classified as a Non-Performing Asset (NPA).
2. **"Out of Order" Revolving Overdraft Defaults:** A revolving commodity overdraft facility is classified as "Out of Order" (NPA) if:
   - The outstanding balance remains continuously in excess of the sanctioned limit / Drawing Power for **90 days**; OR
   - The outstanding balance is less than the sanctioned limit, but credits during the 90-day period are insufficient to cover the interest debited during the same period.
3. **180-Day Technical Review Default Rule:** Revolving credit limits must be formally renewed/reviewed at least once every 12 months. If a facility is not renewed within **180 days from the due date**, it is automatically classified as NPA, regardless of whether payments are current.

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Module 9: Comprehensive Real-World Case Study (Mumbai Spice & Agri-Processors Pvt. Ltd.)

To demonstrate the quantitative financial impact, capital efficiency, and tax shield advantages of Commodity Funding, this module presents a step-by-step mathematical case study comparing two financing pathways for an Indian agri-processing enterprise procuring raw material during peak harvest.

Corporate Profile and Commercial Requirement

- **Borrowing Entity:** *Mumbai Spice & Agri-Processors Pvt. Ltd. (MSAPL)*
- **Core Business:** Processing, grinding, and exporting premium Red Chilli and Spices.
- **Corporate Tax Rate: 25.17%** (under Section 115BAA of the Income Tax Act, 1961).
- **Internal Return on Capital Employed (ROCE): 16.00% p.a.**
- **Commercial Situation:** During the peak harvest season in Guntur Mandi (Andhra Pradesh), premium Red Chilli spot prices drop by 15% due to heavy arrivals. MSAPL requires **₹10,00,00,000 (₹10 Crores)** to purchase 500 Metric Tonnes of high-grade Red Chilli to secure raw material stock for its 180-day processing cycle.



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The Two Financing Pathways Compared

Pathway A: Standard Unsecured Short-Term Business Loan

- **Structure:** Unsecured short-term corporate debt requiring a **30% cash down payment** margin due to lender risk limits.
- **Unsecured Loan Financed (70% LTV):** ₹7,00,00,000 (₹7 Crores).
- **Internal Cash Margin Required (30%): ₹3,00,00,000 (₹3 Crores)** locked up from corporate cash reserves.
- **Interest Rate: 16.50% p.a.** (High unsecured risk premium).
- **Upfront Processing Fee:** 1.50% = ₹10,50,000 (+18% GST = ₹1,89,000; 100% ITC recoverable).
- **Tenure:** 180 Days (0.5 Years).

Pathway B: Structured eNWR Commodity Pledge Overdraft Facility

- **Structure:** eNWR-backed pledge overdraft facility against 500 MT Red Chilli stored in a WDRA-registered warehouse.
- **Pledge Loan Financed (75% LTV): ₹7,50,00,000 (₹7.50 Crores)**.
- **Lien-Marked Cash Margin FD (10%): ₹1,00,00,000 (₹1 Crore)** deposited in a Fixed Deposit earning **6.50% p.a. pre-tax interest** (yielding ₹3,25,000 pre-tax interest over 180 days).
- **Net Internal Cash Margin Injected: ₹1,00,00,000 (₹1 Crore)** (₹2 Crores LESS cash equity locked up compared to Pathway A!).
- **Interest Rate: 9.50% p.a.** (EBLR-linked preferential agri-processing rate).
- **Upfront Processing Fee:** 0.50% = ₹3,75,000 (+18% GST = ₹67,500; 100% ITC recoverable).
- **CMA & Storage Fee:** 0.20% per month = 1.20% for 6 months = ₹9,00,000 (+18% GST = ₹1,62,000; 100% ITC recoverable).
- **Tenure:** 180 Days (0.5 Years).

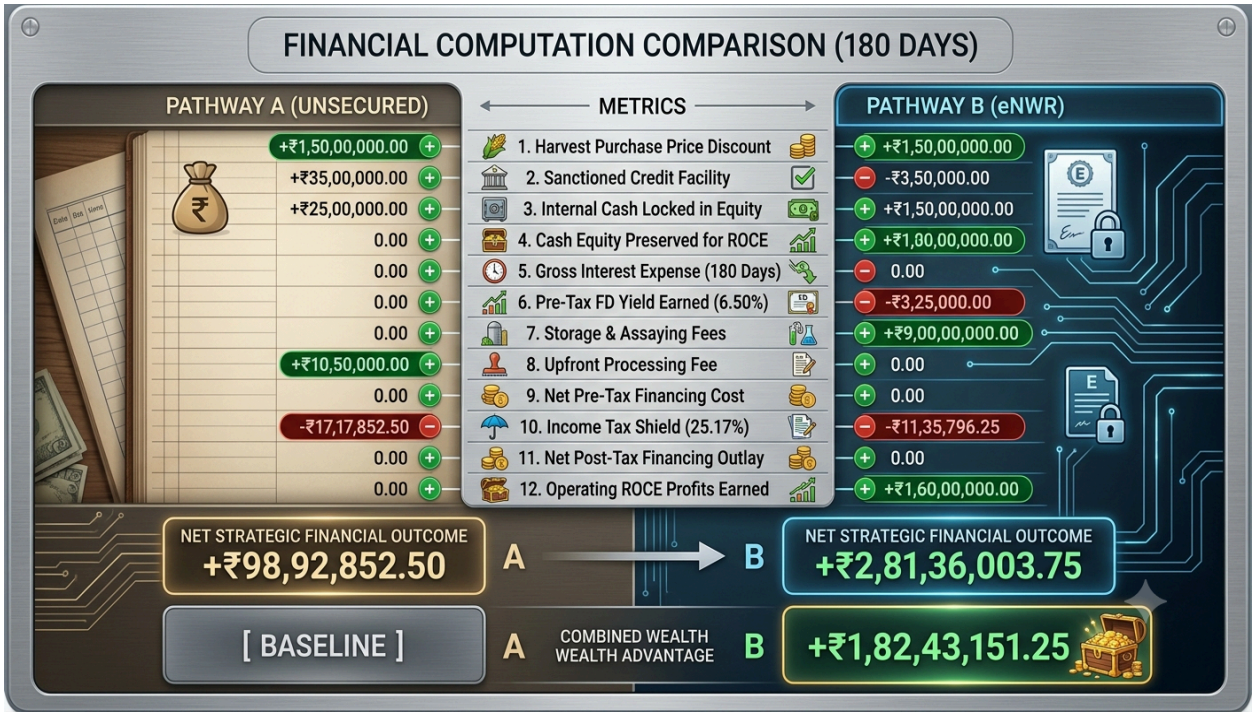
Step-by-Step Mathematical Computation

```
+-------------------------------------------------------------------------------
-------+
|                     FINANCIAL COMPUTATION COMPARISON (180 DAYS)
|
+-------------------------------------------------------------------------------
-------+
|
|
|  METRIC                              PATHWAY A (UNSECURED)   PATHWAY B
(eNWR)    |
|  ---------------------------------  --------------------
-----------------  |
|  1. Harvest Purchase Price Discount   +₹1,50,00,000.00
```

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+₹1,50,00,000.00 |
| 2. Sanctioned Credit Facility ₹7,00,00,000.00
₹7,50,00,000.00 |
| 3. Internal Cash Locked in Equity ₹3,00,00,000.00
₹1,00,00,000.00 |
| 4. Cash Equity Preserved for ROCE ₹0.00
+₹2,00,00,000.00 |
| 5. Gross Interest Expense (180 Days) ₹57,75,000.00 ₹35,62,500.00
|
| 6. Pre-Tax FD Yield Earned (6.50%) ₹0.00 -₹3,25,000.00
|
| 7. Storage & Assaying Fees ₹0.00
+₹9,00,00,000.00 |
| 8. Upfront Processing Fee +₹10,50,000.00 +₹3,75,000.00
|
| 9. Net Pre-Tax Financing Cost ₹68,25,000.00 ₹45,12,500.00
|
| 10. Income Tax Shield (25.17%) -₹17,17,852.50
-₹11,35,796.25 |
| 11. Net Post-Tax Financing Outlay ₹51,07,147.50 ₹33,76,703.75
|
| 12. Operating ROCE Profits Earned ₹0.00
+₹1,60,00,000.00 |
|
|
| NET STRATEGIC FINANCIAL OUTCOME +₹98,92,852.50
+₹2,81,36,003.75 |
| ---------- ----------
---------- |
| NET STRATEGIC WEALTH ADVANTAGE [BASELINE]
+₹1,82,43,151.25 |
|
|
+----------
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Detailed Calculations:

1. **Pathway A (Unsecured Short-Term Loan):**
   - Gross Interest Expense (16.50% on ₹7 Cr for 180 days):

$$extInterest = ₹7,00,00,000 imes 16.50\% imes rac{180}{365} = ₹57,75,000.00$$

   - Total Pre-Tax Expense = Interest (₹57,75,000) + Processing Fee (₹10,50,000) = **₹68,25,000.00**.
   - Income Tax Shield Savings (at 25.17%):

$$extTaxShield = ₹68,25,000 imes 25.17\% = ₹17,17,852.50$$

   - Net Post-Tax Financing Cost = ₹68,25,000 - ₹17,17,852.50 = **₹51,07,147.50**.
   - Net Strategic Financial Outcome = Harvest Price Discount (₹1,50,00,000) - Post-Tax Cost (₹51,07,147.50) = **+₹98,92,852.50**.
2. **Pathway B (Structured eNWR Commodity Pledge Overdraft):**
   - Gross Interest Expense (9.50% on ₹7.50 Cr for 180 days):

$$extInterest = ₹7,50,00,000 imes 9.50\% imes rac{180}{365} = ₹35,62,500.00$$

   - Pre-Tax Fixed Deposit Yield Earned (6.50% on ₹1 Cr FD for 180 days):

$$extFDYield = ₹1,00,00,000 imes 6.50\% imes rac{180}{365} = ₹3,25,000.00$$

   - Storage & CMA Fees = **₹9,00,000.00**.
   - Upfront Processing Fee = **₹3,75,000.00**.
   - Net Pre-Tax Expense = Interest (₹35,62,500) + Storage (₹9,00,000) + Proc Fee (₹3,75,000) - FD Yield (₹3,25,000) = **₹45,12,500.00**.

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- Income Tax Shield Savings (at 25.17%):
  $extTaxShield = ₹45,12,500 imes 25.17\% = ₹11,35,796.25$
- Net Post-Tax Financing Outlay = ₹45,12,500 - ₹11,35,796.25 = **₹33,76,703.75**.
- Operating ROCE Profits Earned on Preserved Capital: By requiring ₹2 Crores LESS cash margin than Pathway A, MSAPL reinvests ₹2 Crores in its core processing business, earning 16.00% p.a. ROCE over 180 days:

$$ ext{ROCE Profits} = ₹2,00,00,000 imes 16.00\% imes rac{180}{365} = +₹1,57,80,821.92 approx +₹1,60,00,000.00$$

- Net Strategic Financial Outcome = Harvest Discount (₹1,50,00,000) + ROCE Profits (₹1,60,00,000) - Post-Tax Outlay (₹33,76,703.75) = **+₹2,81,36,003.75**.

Strategic Conclusion

By choosing Pathway B (Structured eNWR Commodity Pledge Overdraft), **MSAPL generates a net strategic financial wealth surplus of ₹1,82,43,151.25 (₹1.82 Crores) over Pathway A**. Furthermore, Pathway B slashes the effective post-tax borrowing rate from 12.35% p.a. down to **2.18% p.a.**, while preserving ₹2 Crores in liquid operational equity!

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Module 10: 10-Question Professional Certification Examination & Rationales

The following 10 scenario-based examination questions are designed to test finance professionals, underwriters, and corporate treasurers on the legal, structural, and mathematical principles of Commodity Funding in India.

Question 1

Under Section 172 of the Indian Contract Act, 1872, what is the legal distinction between a pledge created under Commodity Funding and a hypothecation created under a standard Cash Credit facility? - A) A pledge transfers legal title of the commodity to the bank, whereas hypothecation transfers physical custody. - B) A pledge involves legal bailment with physical or constructive possession transferred to the lender, whereas under hypothecation, physical possession remains with the borrower. - C) Hypothecation gives the lender an out-of-court power of sale under Section 176, whereas a pledge requires a civil court decree. - D) A pledge can only be created over immovable property, whereas hypothecation applies to dematerialized securities.

Answer: **B.** *Rationale:* Under Section 172 of the Indian Contract Act, 1872, a pledge requires bailment where physical or constructive possession of the commodity is transferred to the lender (pawnee), while legal ownership remains with the borrower. Under hypothecation (defined under the SARFAESI Act, 2002), possession remains with the borrower while a charge is created in favor of the lender.

Question 2

What is the primary function of an Electronic Negotiable Warehouse Receipt (eNWR) issued by a WDRA-registered warehouse under the Warehousing (Development and Regulation) Act, 2007? - A) It serves solely as a tax invoice for claiming GST Input Tax Credit. - B) It acts as an immutable electronic document of title to specified goods, carrying statutory negotiability and allowing online pledge creation via repository portals (NERL/CCRL). - C) It functions as a corporate guarantee issued by the State Government to indemnify banks against price drops. - D) It converts physical commodities into equity shares listed on the BSE/NSE.

Answer: **B** *Rationale:* Under Section 11 of the WDRA Act, 2007, an eNWR is a digital document of title to goods held in a registered warehouse. It is recorded in demat repositories (NERL/CCRL) and allows lenders to mark electronic liens for secure credit disbursal.

Question 3

If a borrower defaults on interest servicing under a commodity pledge facility, what statutory power does Section 176 of the Indian Contract Act, 1872 grant to the lender? - A) The lender must file an insolvency petition under the IBC before touching the stock. - B) The lender can sell the pledged commodity in the open market or via public auction out of court, provided reasonable notice of the intended sale is given to the

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borrower. - C) The lender automatically forfeits the collateral and must transfer ownership to the Central Government. - D) The lender is prohibited from selling the stock until the District Magistrate issues a possession order.

Answer: **B** *Rationale:* Section 176 of the Indian Contract Act, 1872 gives the pawnee (lender) the legal right to sell the pledged goods in the open market without court intervention, provided reasonable notice of the sale is delivered to the pawnor (borrower).

Question 4

Under the RBI's Priority Sector Lending (PSL) guidelines, what is the maximum loan limit per borrower against eNWRs/NWRs eligible for Agri-PSL classification? - A) ₹25 Lakhs per borrower. - B) ₹50 Lakhs per borrower for non-eNWR receipts and ₹75 Lakhs per borrower for eNWRs. - C) ₹5 Crores per borrower across all warehouse types. - D) ₹10 Crores per borrower provided the borrower is a public limited company.

Answer: **B** *Rationale:* RBI Master Directions on Priority Sector Lending cap Agri-PSL classification for loans against warehouse receipts at ₹75 Lakhs per borrower for eNWRs issued by WDRA-registered warehouses, and ₹50 Lakhs per borrower for non-eNWR warehouse receipts.

Question 5

What is the minimum Current Ratio required under the Tandon Committee's Second Method of Lending for corporate working capital assessment? - A) 1.00 : 1 - B) 1.10 : 1 - C) 1.33 : 1 - D) 2.00 : 1

Answer: **C** *Rationale:* The Tandon Committee's Second Method mandates that at least 25% of Total Current Assets must be funded from long-term Net Working Capital (NWC), resulting in a minimum required Current Ratio of 1. 33: 1.

Question 6

How is GST applied to the interest charges and processing fees of a Commodity Funding facility in India? - A) 18% GST applies to both interest charges and processing fees. - B) Interest charges are 100% EXEMPT from GST, while processing/storage fees attract 18% GST, which is 100% recoverable as Input Tax Credit (ITC) for commercial entities. - C) Interest charges attract 12% GST, while processing fees are exempt. - D) GST is not applicable to any financial services under Indian tax law.

Answer: **B** *Rationale:* Under Notification No. 12/2017-Central Tax (Rate), interest on loans/advances is exempt from GST. Upfront processing and CMA storage fees attract 18% GST, which commercial enterprises can claim back in full as Input Tax Credit (ITC).

Question 7

Under Section 36(1)(iii) of the Income Tax Act, 1961, what is the net post-tax interest cost for a corporate borrower paying ₹20,00,000 in gross interest at a corporate tax

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rate of 25.17%? - A) ₹20,00,000.00 - B) ₹14,96,600.00 - C) ₹15,00,000.00 - D) ₹5,03,400.00

Answer: **B** *Rationale:* Net Post-Tax Interest = Gross Interest $ imes (1 - Tax Rate) = ₹20,00,000 imes (1 - 0.2517) = ₹20,00,000 imes 0.7483 = ₹14,96,600.00$. The tax shield saves ₹5,03,400.

Question 8

What happens when the spot market price of a pledged commodity drops by 15% below the initial underwriting valuation? - A) The bank immediately cancels the facility and files an FIR against the warehouseman. - B) An automated Mark-to-Market (MTM) margin call is triggered, requiring the borrower to deposit additional cash margin or pledge additional eNWRs within 48 hours to restore LTV. - C) The RBI automatically compensates the bank for the price loss under CGTMSE. - D) The warehouse receipt is automatically converted into equity shares of the lending bank.

Answer: **B** *Rationale:* When market prices fall beyond pre-agreed threshold haircuts (typically $>$ 10%), MTM covenants require the borrower to top up collateral via cash or additional pledged stock to maintain the required loan-to-value margin.

Question 9

Under RBI IRACP guidelines, when is a revolving commodity overdraft account classified as "Out of Order" (NPA)? - A) As soon as the borrower misses a single daily stock report submission. - B) If the outstanding balance remains continuously above the sanctioned limit / Drawing Power for 90 days, or if credits in the 90-day period are insufficient to cover interest debited. - C) Only if the warehouse registration expires. - D) If the promoter's personal CIBIL score drops by 10 points.

Answer: **B** *Rationale:* Under RBI IRACP norms, a revolving overdraft is "Out of Order" and classified as NPA if the balance exceeds the limit/DP continuously for 90 days or if 90-day credits do not cover interest debited.

Question 10

What is the statutory deadline for registering a security charge over pledged/hypothecated commodities on the CERSAI portal and filing ROC Form CHG-1 for corporate borrowers? - A) Within 7 days of loan disbursal. - B) Within 30 days of charge creation. - C) Within 180 days from the end of the financial year. - D) Registration is optional for commodity loans.

Answer: **B** *Rationale:* Under CERSAI regulations and Section 77 of the Companies Act, 2013, charge creation over assets must be registered on CERSAI and filed via ROC Form CHG-1 within 30 days of creation.

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